GLOBAL FX TRADER

Dollar in a Collar

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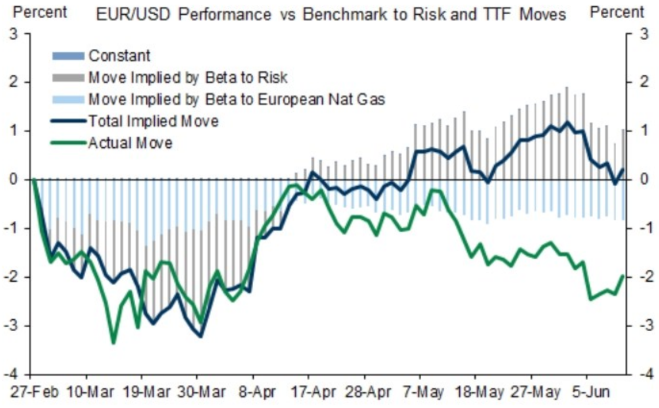
Our thoughts on USD, CNY, GBP, JPY, NJA FX, CHF & ILS

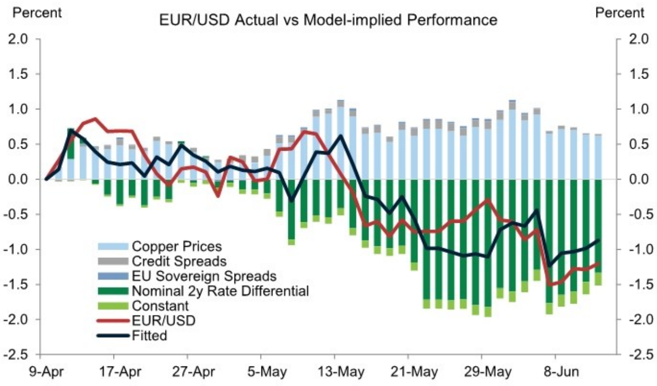
- **USD: Oil off the boil keeps the Dollar in a collar.** We have been arguing recently that the combination of two global themes—an AI boom and an energy supply bust—are both net positive for the Dollar, but strong cyclical forces and policy measures push in the other direction for key parts of the currency complex. That cyclicality, and the US's relative isolation, keep the Dollar captive to ceasefire headlines, but we think the trendline keeps pointing higher in the near term as the fallout from a more sustained energy shortfall grows. At the same time, a growing realization of a smaller-than-expected oil deficit has helped keep growth expectations from diverging further even as the disruption drags on longer. In this context, we view the recent moves as trimming some of the dovish Dollar tail around next week's FOMC, as pricing for the next few meetings now shows a more limited premium for hikes. But even beyond next week, we think more restrained energy moves limit the opportunity for USD volatility to climb out of the doldrums despite elevated macro uncertainty. We have noted that global factors like equity and commodity prices could explain the majority of FX moves in March and April (Exhibit 1), but lately more domestic factors—like rate differentials—are starting to become more important once again (Exhibit 2). Consistent with the shift in macro pricing on resolution announcements, a smaller commodity shock will limit the scope for that divergence. But we think the duration of the disruption also puts a floor under the Dollar as long as a deal is close but the Strait is (mostly) closed.

Exhibit 1: Global factors like equity and commodity prices could explain the majority of FX moves in March and April ...



Source: Bloomberg, Goldman Sachs Global Investment Research

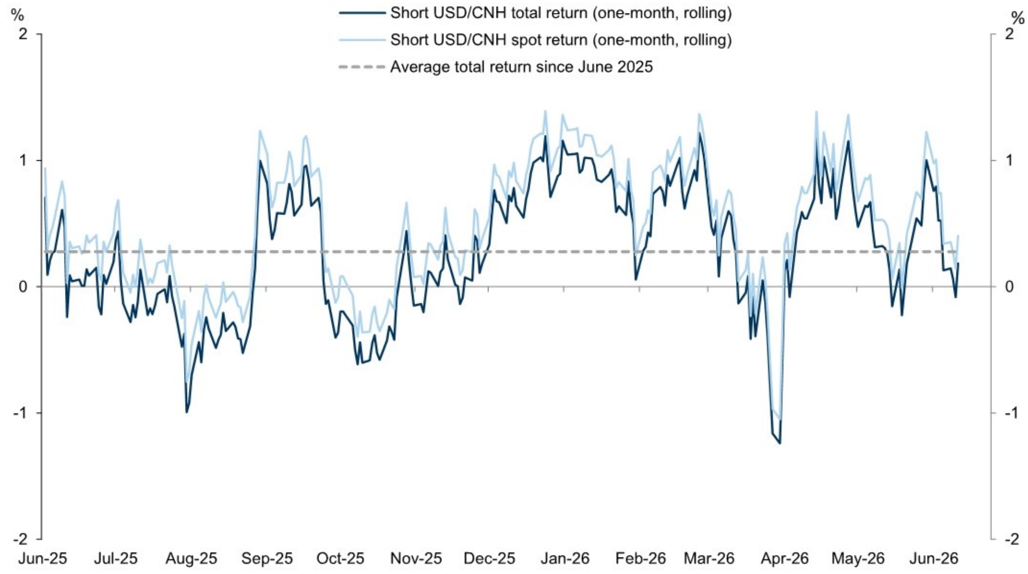
Exhibit 2: ...but lately more domestic factors—like rate differentials—are starting to become more important once again



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

- **CNY: Trading stronger.** Persistent CNY strength has been one of the factors that has held back broader Dollar appreciation, and we expect CNY strength to extend in the months ahead. Given the highly undervalued levels of the currency and China's trade competitiveness, policymakers should be, and are proving, more tolerant of gradual currency strength. And so far at least, the ructions in the global economy as a result of the Iran-US war and the modest real appreciation of the currency have proved to be a hiccup rather than a setback to the trade engine. Latest data from May suggested that the trade surplus increased after a drop in April, back above the US$100bn mark, to US$105.6bn in May (seasonally adjusted), vs. US$97.7bn in April. Looking across major destinations also paints a picture of relatively resilient growth despite the energy shock, with nominal exports increasing to most parts of the world with the exception of Europe and Latin America, although most of that increase reflected an increase in prices of tech-related products. Stepping back, while China's trade surplus may face some near-term headwinds from renewed opportunistic diversification into gold, rising energy/semiconductor import costs, and higher PPI inflation, the structural story across the green technology chain and broader manufacturing competitiveness seems intact as does the deep currency undervaluation (of more than 20% on our GSDEER & GSFEER metrics). So even as the pace of the move and total returns have flattened out over the past month (Exhibit 3), the past week has marked another year-to-date low in the USD/CNY fix and offshore spot, and we continue to target 6.50 in 12m.

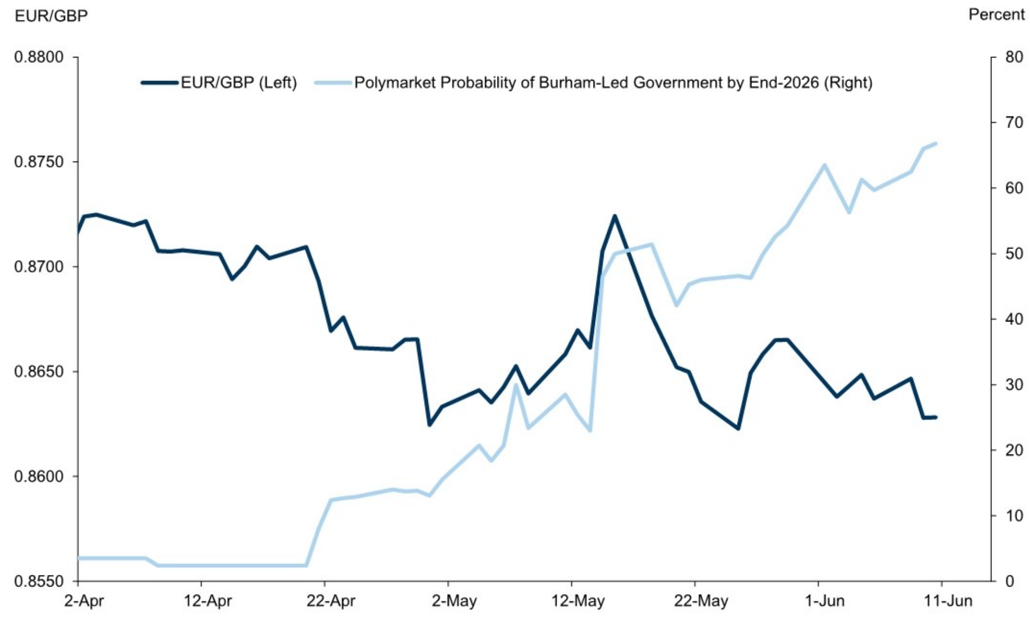
Exhibit 3: Even as the pace of total returns has flattened out over the past month, the past week has marked another year-to-date low in the USD/CNY fix



Source: Bloomberg, Goldman Sachs Global Investment Research

- **GBP: Make-or-breakerfield.** Next Thursday's Makerfield by-election is a pivotal moment in Manchester Mayor Andy Burnham's path to a potential Labour party leadership contest, but we see the event risk for Sterling as being fairly narrow. Political and fiscal risk premium in the currency remains light on our measure, despite a Burnham-led government (and the associated risks of potential adjustments to the UK's fiscal stance) now priced in prediction markets as more likely than not by year-end**.** Shifts in these odds have weighed on GBP in bouts over recent months rather than providing a sustained headwind even when prediction markets moved firmly towards Burnham in recent weeks (Exhibit 4). To see premium expand again and weigh materially on Sterling, we think the onus is now either on an announcement of policy plans that lead markets to question the UK's fiscal trajectory, or for political uncertainty to rise and linger for longer. And even under such a scenario, we expect other, more fundamental factors to continue to dominate price action. The evolution of the energy shock remains key to that. We continue to think the current window of unresolved energy supply risks and limited political premium priced in Sterling offers decent value in GBP downside versus terms of trade winners such as USD or AUD, but in our view these expressions are best suited to more tactical horizons or tail hedges. Sterling should be a top performer on a resolution to the conflict in the Middle East on account of its procyclical and energy importer attributes, and we think a reversal of the terms of trade impact on Sterling should easily outweigh any further bouts of political premium ahead.

Exhibit 4: Modest Sterling reactions to rising odds of a Burnham led government



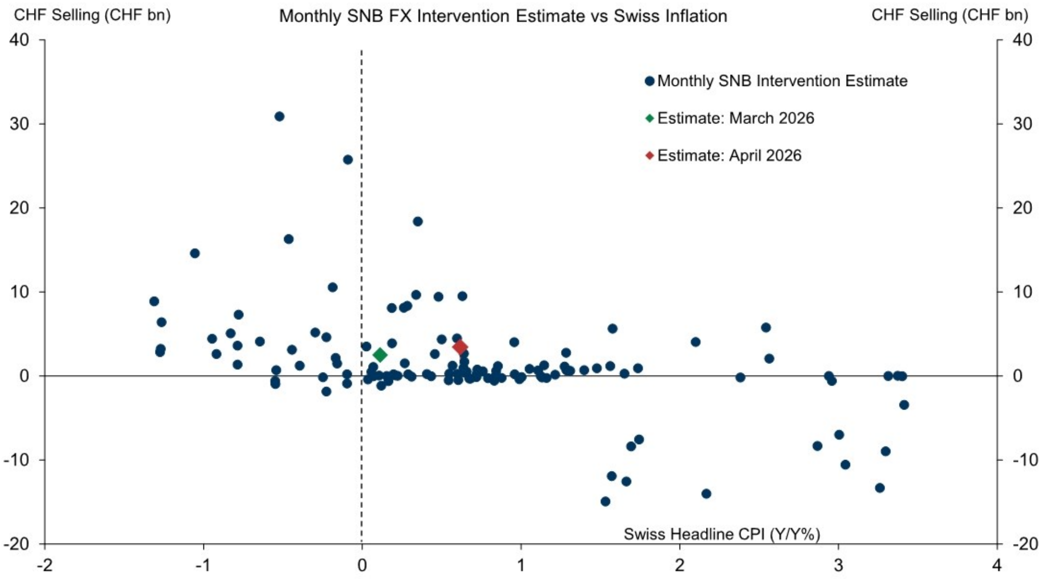
Source: Bloomberg, Polymarket, Goldman Sachs Global Investment Research

- **JPY: Policy limits.** The BoJ looks set to hike by 25bp at its June meeting, continuing with its very gradual pace of tightening. Governor Ueda's recent speech—combined with the dissents, projections, and statement of the April meeting—essentially previewed the hike, so the bar for a hawkish surprise is high. Though with Ueda not able to deliver the press conference (Deputy Governor Uchida will be filling in), it may be harder to decipher whether any marginal communication shift is intentional or not. But in any case, without a guide towards a faster pace of hikes, markets will remain most focused on the JPY-negative fundamentals of constrained monetary policy, higher-for-longer US yields, US growth outperformance, and domestic fiscal risks. Current balance sheet policy is also set to be reassessed at this meeting, and some have speculated that the Board may consider an *increase* to JGB purchases to contain long-end yields. But we think that would only add to the downward pressure on the currency (which the MoF wants to avoid), especially since rising fiscal risk premium has been the driver of higher yields rather than supply. For that reason and the fact that bond market functioning has been improving, our economists think the BoJ will stick to its previously decided plan to *reduce* purchases to a pace of ¥200bn per quarter. Overall, we continue to think that if our and market expectations for domestic monetary policy prove correct (i.e., only gradual tightening), it should have relatively limited impact on the Yen relative to the broader macro backdrop and US outlook, keeping the currency on the back-foot.

- **NJA FX: Carry re-emerging in India, recommend going short THB/INR.** We argued last week that there is a growing case for the INR to be added to diversified carry baskets. Carry levels in the INR have increased since the beginning of the US-Iran War, and they are now higher than other Asia high-yielders (IDR and PHP) and higher than some other popular carry candidates across EM such as ZAR and MXN. While the Rupee is still at fair levels on a trade-weighted basis and rich relative to key currencies like CNY, it now screens among the more undervalued EM currencies versus the Dollar among the higher carry complex on our GSDEER and GSFEER metrics. The RBI also announced a slew of measures to encourage capital inflows, which alongside increasing prospects of a resolution in the Middle East, have helped to stabilize USD/INR over the past week. And even though the balance of payments is likely to be in better shape given lower energy intensity of the economy, we do not expect significant spot appreciation (since any renewed capital inflows should be absorbed through unwind of the short forward book and reserve rebuild). Still, the Rupee is now a more viable carry candidate with the central bank likely to hike rates a couple of times before year-end. On the other side, we do not expect the Bank of Thailand to raise rates this year. Given Thailand's longer term structural economic challenges, the authorities' efforts to de-link the correlation between gold and THB, and preference for a weaker currency, we think the THB will likely remain a laggard vs the region even if oil prices drop. Taken together, we recommend going short THB/INR (entry 2.91, target 2.70, stop-loss 3.05). The annualized carry for this pair is approximately 4.7%.

- **CHF: The SNB and me.** The Swiss Franc has not performed in its typical role as a geopolitical, inflation, and European cyclical hedge as it did in the 2022 energy shock. Given the lower starting point for inflation, and a stronger starting point for the currency, the SNB has maintained its bias toward countering CHF appreciation. We had argued that a reacceleration in Swiss inflation would suffice to see the SNB revert back to a neutral intervention bias, as was the case in 2022. But, despite headline inflation tracking above the SNB's latest projections, so far the pass-through from higher energy prices has been limited. Nevertheless, we will be focused on the June 18 meeting statement for any incremental shift towards a more neutral currency stance, either on the intervention language or (more passively) by referencing the real exchange rate. We have shown that the SNB tends to take a more hands-off approach to intervention when inflation is in this range, and our economists estimate that the SNB did not intervene much in April, so the "increased" willingness language may be adjusted. Moreover, the inflation *differential* matters for the real exchange rate, so the increase in EA inflation is also relevant. We think markets may be too complacent after Chair Schlegel's recent comments echoed the same intervention language, as that is standard practice for SNB communication. However, without a clearer shift in the currency bias—which the SNB may feel is unwarranted given the still-low level of inflation—we see a risk of further CHF underperformance ahead. In a market searching for funders, dovish divergence can quickly weigh on currency performance, as the recent moves in CAD help demonstrate. We therefore revise our EUR/CHF forecasts to 0.91, 0.90 and 0.88 in 3, 6 and 12 months (from 0.89, 0.90 and 0.91 previously). Our new forecasts reflect a more persistent global inflation environment and less-positive cyclical momentum in the Euro area.

Exhibit 5: SNB CHF selling was fairly small in March and April—consistent with other periods where inflation is comfortably within their 0-2% target range



CPI data lagged by a month to better align with the latest data available to the SNB at the point of intervention.

Source: Haver Analytics, SNB, Goldman Sachs Global Investment Research

- **ILS: Still the best tech hedge in FX.** The Shekel has been on a round trip over the last month—first appreciating to historically strong levels in May and then reversing that move quite sharply through June. We continue to think that most of the ILS price action can be explained by its high sensitivity to tech stocks, which have also been volatile. However, the more recent move likely also reflects BoI policy shifts, namely the decision to cut rates in May and to intervene in FX markets by buying Dollars for the first time since 2022. While uncertainty remains on the drivers of this intervention —partly because the central bank did not pre-announce them or a broader shift in FX policy—we have been arguing that policy pushback against a stronger ILS would likely grow as the Shekel reached historically strong levels, especially as competitiveness concerns come increasingly into focus. Therefore, with this overvaluation signal, positive carry for being short, and high beta to tech stocks, we have argued that the Shekel is an attractive hedge for portfolios highly levered to the performance of the technology sector, and can also serve as a funder for broader carry portfolios. The main risks to this view would be a substantial increase in local institutional investor's hedge ratios (which we have not seen so far) or other local developments that could mute the Shekel's beta to tech stocks.

Global FX Forecasts

	Current Spot	3-Month Horizon		6-Month Horizon		12-Month Horizon	
		Forward	Forecast	Forward	Forecast	Forward	Forecast
G10							
EUR/$	1.16	1.16	1.14	1.17	1.18	1.17	1.20
£/$	1.34	1.34	1.33	1.34	1.34	1.34	1.33
AUD/$	0.70	0.70	0.72	0.70	0.73	0.70	0.74
NZD/$	0.58	0.59	0.60	0.59	0.61	0.59	0.62
$/CAD	1.40	1.39	1.40	1.39	1.38	1.38	1.38
$/CHF	0.79	0.79	0.80	0.78	0.76	0.76	0.73
$/NOK	9.49	9.50	9.30	9.52	8.98	9.55	8.75
$/SEK	9.44	9.40	9.65	9.35	9.15	9.27	8.75
$/JPY	160	159	160	158	158	155	155
EMEA							
$/CZK	20.9	20.9	21.5	20.9	20.7	20.8	20.2
$/HUF	305	306	311	307	297	308	288
$/PLN	3.67	3.67	3.77	3.67	3.60	3.67	3.54
$/RON	4.52	4.55	4.52	4.58	4.39	4.62	4.38
$/RUB	74.32	74.32	80.0	76.55	85.0	80.68	90.0
$/UAH	44.9	46.1	44.0	47.4	46.0	50.1	48.0
$/TRY	46.20	50.29	48.0	54.79	50.0	64.82	54.0
$/ILS	2.93	2.93	3.00	2.92	3.05	2.90	3.10
$/ZAR	16.26	16.38	16.50	16.50	16.00	16.76	15.75
$/NGN	1362	1407	1325	1445	1300	1522	1250
Americas							
$/ARS	1433	1510	1500	1597	1600	1795	1800
$/BRL	5.10	5.21	4.90	5.32	5.00	5.55	5.00
$/MXN	17.25	17.38	17.75	17.52	18.00	17.79	18.00
$/CLP	902	902	920	902	900	901	860
$/PEN	3.39	3.40	3.40	3.42	3.35	3.44	3.30
$/COP	3493	3570	3600	3650	3700	3811	3750
Asia							
$/CNY	6.77	6.71	6.80	6.66	6.70	6.58	6.50
$/HKD	7.84	7.81	7.80	7.79	7.80	7.76	7.80
$/INR	95.76	96.00	96.00	96.77	96.00	98.30	97.00
$/KRW	1531	1528	1460	1525	1440	1518	1420
$/MYR	4.07	4.06	3.90	4.05	3.80	4.02	3.70
$/SGD	1.28	1.28	1.28	1.27	1.25	1.25	1.24
$/TWD	31.6	31.6	31.5	31.6	31.0	31.7	30.5
$/THB	32.95	32.69	34.00	32.56	33.50	32.25	33.00
$/IDR	17993	17994	17000	18127	17100	18381	17200
$/PHP	61.36	61.49	62.00	61.68	61.00	62.13	61.00
Euro Crosses							
EUR/GBP	0.86	0.87	0.86	0.87	0.88	0.88	0.90
EUR/CHF	0.92	0.91	0.91	0.91	0.90	0.90	0.88
EUR/NOK	10.98	11.04	10.60	11.10	10.60	11.21	10.50
EUR/SEK	10.93	10.92	11.00	10.91	10.80	10.89	10.50
EUR/CZK	24.17	24.24	24.50	24.31	24.40	24.45	24.20
EUR/HUF	353	356	355	358	350	362	345
EUR/PLN	4.25	4.26	4.30	4.28	4.25	4.31	4.25
EUR/RON	5.24	5.29	5.15	5.34	5.18	5.43	5.25
EUR/RUB	86.0	86.4	91.2	89.3	100.3	94.7	108.0

Note: Spot values are as of Thursday's close.

See dynamic table here (or click image above): https://publishing.gs.com/content/themes/fx-forecasts.html

Source: Goldman Sachs Global Investment Research

Return Forecasts & Valuations

		Forecast: 12-Month Return (%)				GSDEER			GSFEER				
							Misalignment			Misalignment			
	Current Spot	Spot	Carry	Total	NEER	Estimate	Bilateral	Trade-Weighted	Estimate	Bilateral	Trade-Weighted	Average Estimate	PPP*
G10													
EUR/$	1.16	3.6	-1.4	2.2	2.2	1.20	-3%	8%	1.18	-2%	1%	1.19	1.52
GBP/$	1.34	-0.6	0.2	-0.4	-2.9	1.22	10%	24%	1.30	3%	7%	1.25	1.50
AUD/$	0.70	5.0	0.7	5.7	1.4	0.81	-13%	9%	0.72	-3%	12%	0.78	0.70
NZD/$	0.58	6.2	-0.8	5.4	2.7	0.67	-12%	4%	0.62	-6%	2%	0.65	0.67
$/CAD	1.40	1.2	-1.5	-0.3	0.3	1.21	-13%	-9%	1.34	-4%	-1%	1.27	1.17
$/CHF	0.79	8.4	-3.9	4.2	6.2	0.84	6%	15%	0.800	1%	3%	0.83	0.92
$/NOK	9.49	8.4	0.6	9.1	5.5	6.38	-33%	-26%	8.92	-6%	-5%	7.39	8.87
$/SEK	9.44	7.9	-1.8	6.0	4.4	7.41	-21%	-13%	8.99	-5%	-2%	8.04	8.26
$/JPY	159.9	3.2	-2.9	0.2	0.5	93	-42%	-32%	140	-13%	-13%	112	93
EMEA													
$/CZK	20.88	3.5	-0.3	3.2	0.6	25.4	22%	30%	20.8	0%	4%	23.6	15.8
$/HUF	305	6.1	1.0	7.2	3.4	318	4%	11%	329	8%	13%	322	261
$/PLN	3.67	3.6	0.1	3.8	1.4	3.92	7%	15%	3.7	1%	4%	3.84	2.43
$/RON	4.52	3.4	2.2	5.6	--	--	--	--	5.25	16%	16%	--	--
$/RUB	74.3	-17.4	8.5	-10.4	-19.5	76.80	3%	20%	75.94	2%	5%	76.46	40.15
$/UAH	44.92	-6.4	11.6	5.2	--	--	--	--	--	--	--	--	--
$/TRY	46.20	-14.4	40.3	20.0	-15.3	32.15	-30%	-27%	45.51	-1%	2%	37.49	29.15
$/ILS	2.93	-5.5	-1.2	-6.6	-6.9	3.54	21%	35%	3.03	3%	7%	3.34	4.70
$/ZAR	16.3	3.3	3.1	6.4	0.5	12.97	-20%	-11%	15.4	-5%	0%	13.96	18.40
$/NGN	1362	8.9	11.8	20.7	--	--	--	--	--	--	--	--	--
Americas													
$/ARS	1432.5	-20.4	25.3	4.9	-22.2	--	--	--	--	--	--	--	--
$/BRL	5.10	1.9	8.9	11.0	0.9	4.22	-17%	-4%	5.18	2%	9%	4.61	5.28
$/MXN	17.25	-4.2	3.1	-1.2	-5.5	19.33	12%	20%	17.23	0%	3%	18.49	20.29
$/CLP	902	4.9	0.0	4.8	3.2	673	-25%	-12%	830	-8%	0%	736	787
$/PEN	3.39	2.7	1.5	4.3	1.3	2.75	-19%	-8%	2.98	-12%	-12%	2.84	4.24
$/COP	3493	-6.8	9.1	1.6	-7.8	3502	0%	14%	3823	9%	8%	3630	3298
Asia													
$/CNY	6.77	4.2	-2.9	1.2	1.9	5.02	-26%	-16%	5.89	-13%	-10%	5.37	5.82
$/HKD	7.84	0.5	-1.0	-0.5	-3.1	6.93	-12%	10%	6.67	-15%	-7%	6.82	5.85
$/INR	95.76	-1.3	2.7	1.3	-3.3	85.85	-10%	-1%	86.97	-9%	-5%	86.30	57.50
$/KRW	1531	7.8	-0.9	6.9	5.4	1169	-24%	-7%	1161	-24%	-23%	1166	929
$/MYR	4.07	9.9	-1.1	8.7	6.3	3.26	-20%	-3%	4.02	-1%	6%	3.56	1.95
$/SGD	1.284	3.5	-2.6	0.9	-0.3	1.36	6%	26%	1.30	1%	7%	1.34	0.57
$/TWD	31.62	3.7	0.3	4.0	0.2	24.9	-21%	-2%	26.1	-18%	-20%	25.3	13.2
$/THB	32.95	-0.1	-2.1	-2.3	-3.4	30.99	-6%	16%	33.83	3%	9%	32.13	18.82
$/IDR	17993	4.6	2.2	6.9	1.3	14113	-22%	-4%	15947	-11%	-6%	14846	10885
$/PHP	61.36	0.6	1.2	1.8	-2.7	58.94	-4%	19%	63.29	3%	12%	60.68	52.56
Euro Crosses													
EUR/GBP	0.86	-4.1	1.6	-2.5	-2.9	0.98	14%	24%	0.91	5%	7%	0.95	1.01
EUR/CHF	0.92	4.6	-2.5	2.1	6.2	1.01	10%	15%	0.94	2%	3%	0.98	1.40
EUR/NOK	10.98	4.6	2.0	6.6	5.5	7.65	-30%	-26%	10.49	-4%	-5%	8.79	13.46
EUR/SEK	10.93	4.1	-0.4	3.7	4.4	8.89	-19%	-13%	10.58	-3%	-2%	9.56	12.54
EUR/CZK	24.17	-0.1	1.1	1.0	0.6	30.45	26%	30%	24.47	1%	4%	28.06	24.02
EUR/HUF	353	2.4	2.4	4.8	3.4	381	8%	11%	387	10%	13%	384	396
EUR/PLN	4.25	0.0	1.5	1.5	1.4	4.70	11%	15%	4.4	3%	4%	4.57	3.68
EUR/RON	5.24	-0.2	3.5	3.3	--	--	--	--	6.18	18%	16%	--	--
EUR/RUB	86.0	-20.3	9.9	-10.4	-19.5	92.1	7%	20%	89.4	4%	5%	91.0	--
Addendum													
USD	--	-1.8	-1.9	-3.5	-2.2	--	--	16%	--	--	4%	--	--

Note: USD returns average of all other currencies (except ARS, NGN and UAH) with opposite sign; *EM estimates adjusted for per capita income. Spot values as of Thursday.

See dynamic table here (or click image above): https://publishing.gs.com/content/themes/table.html?criteriaKey=1k2HGqqS2h

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Kamakshya Trivedi, Michael Cahill, Danny Suwanapruti, Teresa Alves, Karen Reichgott Fishman, Stuart Jenkins, Victor Engel and Lexi Kanter, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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